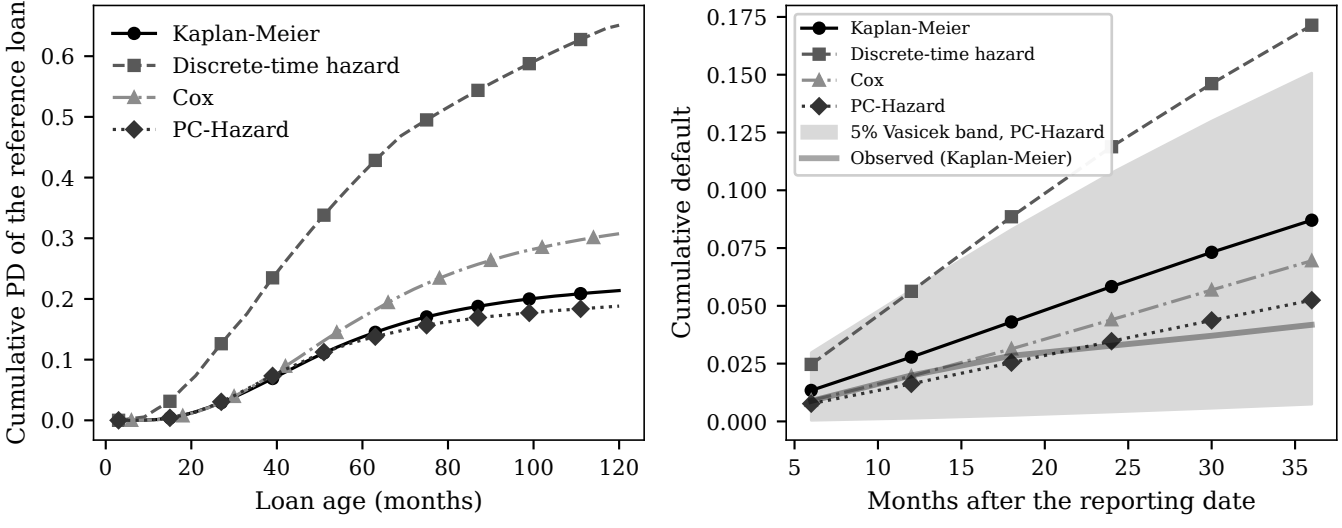
(a) Reference loan, December 2010
Kaplan-Meier
Discrete-time hazard
Cox
PC-Hazard
Cumulative PD of the reference loan
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0
20
40
60
80
100
120
Loan age (months)
(b) Backtest, all cohorts pooled
Kaplan-Meier
Discrete-time hazard
Cox
PC-Hazard
5% Vasicek band, PC-Hazard
Observed (Kaplan-Meier)
Cumulative default
0.000
0.025
0.050
0.075
0.100
0.125
0.150
0.175
5
10
15
20
25
30
35
Months after the reporting date